

Paradiem

The Morning Brief

JUNE 24, 2026

Chip Capitulation

*AI doubts and a hawkish Fed reset trigger a global semiconductor flush into Micron tonight.*

|                   |                   |                  |                                                      |                                              |
|-------------------|-------------------|------------------|------------------------------------------------------|----------------------------------------------|
| S&P 500 (TUE)     | NASDAQ (TUE)      | BRENT (BNO TUE)  | KOSPI (TUE)                                          | FEAR & GREED                                 |
| \$733.58 · ↓1.45% | \$713.65 · ↓3.29% | \$42.54 · ↓1.35% | ↓9.99% · circuit-breakers per Korea Herald/Bloomberg | 28 · Fear (CNN); drop fell back to Crypto 17 |

SECTION 01

Markets — Chip Capitulation Under a Hawkish Fed Reset

PER THE DATA DROP, TUESDAY CLOSED WITH THE NASDAQ PROXY AT \$713.65 (↓3.29%), THE S&P 500 PROXY AT \$733.58 (↓1.45%), THE TECH SECTOR ETF XLK AT \$184.19 (↓4.14%), AND THE RUSSELL 2K PROXY AT \$295.32 (↓0.96%) ON A SECOND-CONSECUTIVE SESSION OF AI-SPENDING DOUBTS — CRDO REPORTEDLY CLOSED AT \$272.00 (↓10.09%), MRVL AT \$279.04 (↓9.36%), LRCX AT \$371.33 (↓9.33%), ADI AT \$407.26 (↓8.58%), QCOM AT \$204.13 (↓8.01%), NXPI AT \$299.94 (↓7.21%), TSM AT \$436.39 (↓6.69%), AMD AT \$519.85 (↓5.76%), KEYS AT \$352.58 (↓5.56%), TEL AT \$203.05 (↓4.53%), AND NVDA AT \$200.04 (↓4.13%), REVERSING THE PRIOR-WEEK CRDO BEAT-AND-RAISE SETUP

The Tuesday tape reportedly reflected a global rather than U.S.-specific repricing per Bloomberg, Korea Herald, and CNN coverage: South Korea’s KOSPI reportedly closed ↓9.99% at 8,203.84 with circuit-breakers triggered twice in the session as SK Hynix and Samsung Electronics each reportedly fell approximately 12%, with reports cited via Korea Herald and TradingKey indicating SK Hynix may be reportedly slowing its HBM4 expansion pace and reallocating capacity toward conventional DRAM where margins have reportedly recently exceeded HBM. Per Reuters and MarketScreener coverage, the U.S. tape reportedly extended the prior session’s selling on parallel concerns over hyperscalers’ debt-backed AI capex returns alongside a more hawkish Fed reaction function, with Bank of America Global Research reportedly revising to call for approximately 75 basis points of Fed hikes in 2026 (reportedly September, October, December) versus its prior unchanged baseline per Reuters via Investing.com. Per CNBC coverage, fed-funds futures reportedly imply approximately 77% probability of a hike by December, up from roughly 24% a month earlier. UVXY closed at \$28.00 (↑8.28% per the data drop) on the vol bid, while TLT held essentially flat at \$86.20 (↑0.13%).

|                             |                                                                            |
|-----------------------------|----------------------------------------------------------------------------|
| NASDAQ PROXY (TUE)          | <b>\$713.65 · ↓3.29% · second-day AI flush</b>                             |
| XLK (TUE)                   | <b>\$184.19 · ↓4.14% · sector-worst</b>                                    |
| XLP (TUE)                   | <b>\$83.72 · ↑1.87% · defensive bid</b>                                    |
| KOSPI (TUE)                 | <b>↓9.99% · circuit-breakers x2 per Korea Herald</b>                       |
| SK HYNIX /<br>SAMSUNG (TUE) | <b>~↓12% each · HBM4 pace reportedly<br/>slowed per TradingKey</b>         |
| BOFA FED<br>CALL            | <b>75bps hikes in 2026 (Sep/Oct/Dec) per Reuters via<br/>Investing.com</b> |
| DEC HIKE<br>PROBABILITY     | <b>~77% per CNBC · up from ~24% a month<br/>ago</b>                        |
| UVXY (TUE)                  | <b>\$28.00 · ↑8.28% · vol bid</b>                                          |

**FOR FCI'S DIVIDEND SLEEVE, THE INTERNAL ROTATION CARSON ANCHORED MONDAY REPORTEDLY CRYSTALLIZED TUESDAY INTO A CLEAN DEFENSIVES-OVER-CYCLICALS PRINT — STAPLES (XLP ↑1.87%), HEALTHCARE (XLV ↑1.41%), REAL ESTATE (XLRE ↑1.41%), UTILITIES (XLU ↑0.78%), AND ENERGY (XLE ↑0.74%) REPORTEDLY ALL CLOSED GREEN AGAINST THE TECH WRECK, WITH ABT REPORTEDLY AT \$90.53 (↑3.07%), CL AT \$91.43 (↑3.11%), CHD AT \$96.48 (↑2.92%), ADP AT \$220.50 (↑2.75%), AND SYK AT \$310.00 (↑1.74%) LEADING THE COHORT; ON THE DEFENSE SIDE, LMT REPORTEDLY CLOSED AT \$503.67 (↑2.04%) AND GD AT**

#### **\$350.34 (↑2.03%) ON A NOTABLE REVERSAL OF THE PRIOR-SESSION PEACE-DEAL-RECIPROCAL DRAWDOWN PATTERN**

Per the data drop, the cross-sleeve mechanics on Tuesday reportedly read as a classical risk-off rotation: the dividend sleeve's defensive concentration (CL, ABT, CHD, ADP, SYK, DGX ↑1.86%, GPC ↑1.29%, BKH ↑1.26%, ATO ↑0.88%) reportedly absorbed the flow exiting the chip cohort, while the benchmark divergence reinforced the read — DVY reportedly closed at \$155.58 (↑0.93%) against IUSG at \$182.94 (↓2.31%), a roughly 320 basis-point relative spread on a single session. For the dividend-tilt thesis, the Tuesday print reportedly validates the framework Carson has carried through the SEP repricing cycle: when the multiple compression hits the AI infrastructure complex, the cash-flow durability complex reportedly absorbs it. On the precious-metals side, GLD reportedly closed at \$377.32 (↓1.89%) and SLV at \$55.73 (↓5.40%) on the hawkish Fed read driving the dollar bid — per Reuters via the data drop, gold reportedly slipped to a two-week low as Fed rate-hike bets buoyed the dollar — while AEM closed at \$160.16 (↓4.01%) per the data drop. The FCX print at \$64.40 (↓6.95%) layered the broader commodities reset onto the AI-doubt rotation.

*A second-day AI flush meets a hawkish Fed reset and a Korea HBM4 headline — the defensive cohort absorbs the rotation while Carson's level remains untouched. Avoid Erosion.*

## Geopolitics — Senate Rebuke, Hormuz Eases, Big Oil in Crosshairs

PER CNN, THE WASHINGTON POST, ABC NEWS, PBS, AND AL JAZEERA COVERAGE, THE U.S. SENATE REPORTEDLY VOTED 50-48 ON TUESDAY TO ADOPT A WAR POWERS RESOLUTION DIRECTING THE PRESIDENT TO REMOVE U.S. MILITARY FORCES FROM THE CONFLICT WITH IRAN — PER THE CITED COVERAGE, GOP SENATORS RAND PAUL, SUSAN COLLINS, LISA MURKOWSKI, AND BILL CASSIDY REPORTEDLY JOINED DEMOCRATS IN VOTING FOR THE RESOLUTION WHILE DEMOCRATIC SENATOR JOHN FETTERMAN REPORTEDLY VOTED AGAINST — PER CNN, THE OUTCOME REPORTEDLY MARKED THE FIRST TIME A WAR POWERS RESOLUTION HAS SUCCESSFULLY PASSED BOTH CHAMBERS OF CONGRESS, THOUGH PER PBS COVERAGE THE RESOLUTION IS LARGELY SYMBOLIC AND DOES NOT CARRY THE FULL FORCE OF LAW — PER REUTERS COVERAGE CITED VIA THE DATA DROP, SECRETARY OF STATE RUBIO REPORTEDLY KICKED OFF A MIDDLE EAST TRIP TUESDAY WITH GULF ALLIES SEEKING ANSWERS ON IRAN

For FCI's defense sleeve, the Tuesday cohort move — LMT ↑2.04% to \$503.67 and GD ↑2.03% to \$350.34 per the data drop — reportedly reversed the prior-session peace-deal-reciprocal drawdown, suggesting participants priced the Senate resolution as a symbolic but non-operational constraint that does not alter the supplemental-funding pipeline (~\$80 billion per WSJ via Reuters from prior coverage). Per the data drop's LMT news run, Yahoo coverage reportedly framed Lockheed Martin's recent two-day approximately 6% drawdown ahead of the Tuesday reversal alongside the "China's Antimony Ban Sent Prices Up 2,600%, Rare Earths Are Next" headline that also appeared on the GD news run. For the position-symmetric framework Carson has anchored, the operative read is that the cohort reportedly continues to absorb both the diplomatic-track reductions and the supply-chain critical-minerals overlay without thesis disruption. **Think Like an Owner.**

PER REUTERS AND OILPRICE.COM COVERAGE CITED VIA THE DATA DROP, PRESIDENT TRUMP REPORTEDLY INSTRUCTED THE DEPARTMENT OF JUSTICE ON TUESDAY TO INVESTIGATE BIG OIL COMPANIES FOR ALLEGEDLY NOT LOWERING PUMP PRICES IN LINE WITH FALLING CRUDE COSTS — PER THE CITED COVERAGE, TRUMP REPORTEDLY DID NOT NAME SPECIFIC COMPANIES BUT REPORTEDLY ALLEGED CONSUMERS ARE BEING OVERCHARGED AT THE PUMP — PER REUTERS VIA THE DATA DROP'S HEADLINE RUN, OIL REPORTEDLY EXTENDED ITS SLIDE ON EXPECTATIONS OF SMOOTHER CRUDE FLOWS VIA HORMUZ, WITH WTI PROXY USO AT \$111.26 (↓1.27%), BRENT PROXY BNO AT \$42.54 (↓1.35%), AND NAT GAS PROXY UNG AT \$11.50 (↓2.29%) PER THE DATA DROP

For FCI's energy sleeve, the dual pressure of softer Brent and a DOJ probe headline reportedly produced a notable equity-level holdout against the commodities reset: CVX reportedly closed at \$175.98 (↑0.53%), DVN at \$43.39 (↑0.79%), OKE at \$88.06 (↑2.05%), and CNX at \$33.50 (↑0.90%) per the data drop, with VLO essentially flat at \$243.68 (↓0.04%). The XLE sector ETF reportedly closed at \$54.46 (↑0.74%) against XLB (↓1.45%) and XLI (↓2.01%) per the data drop, suggesting participants reportedly continued to price the cohort's longer-

cycle gas-infrastructure and Permian physical-flow framework above the day's crude tape and the DOJ political-pressure overlay. Per the data drop's CL news run, Reuters coverage reportedly indicated hedge funds raised oil short bets to a five-month high — the positioning dimension carries through the Rubio Gulf tour and the Senate war-powers resolution as parallel sentiment vectors. **The physical world matters.**

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|------------------------|--------------------------------------------------------------------|
| SENATE WAR POWERS VOTE | 50-48 to halt Iran war per CNN/WaPo · first to pass both chambers  |
| RUBIO GULF TOUR        | Reportedly kicked off Tuesday per Reuters · allies seeking answers |
| TRUMP DOJ PROBE        | Big Oil pump pricing per Reuters/OilPrice.com · no firms named     |
| USO (TUE)              | \$111.26 · ↓1.27% · smoother Hormuz flows per Reuters              |
| BNO (TUE)              | \$42.54 · ↓1.35%                                                   |
| XLE (TUE)              | \$54.46 · ↑0.74% · equity-level holdout                            |
| HEDGE FUND OIL SHORTS  | 5-month high per Reuters via data drop                             |

## On Our Radar

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### **1. Micron (MU) Reports Q3 Fiscal 2026 Today Wednesday June 24 After the Close per Multiple Previews — the Principal AI-Memory Validation Event After Korea's HBM4 Pace-Slowing Headline.**

Per TradingView/GuruFocus, TradingKey, Alphastreet, and Yahoo Finance preview coverage, consensus is reportedly approximately \$19.72 EPS on revenue of approximately \$35.4 billion, with non-GAAP gross margin reportedly tracked toward an 81.6% record print and HBM capacity reportedly sold out through 2026 and into early 2027 under binding contracts. Per Korea Herald and TradingKey coverage of the Tuesday KOSPI move, SK Hynix reportedly slowed its HBM4 expansion pace and reallocated capacity toward conventional DRAM where margins reportedly recently exceeded HBM — the Micron read tonight reportedly informs whether the HBM4 deceleration is firm-specific or a structural memory-cycle reset. For FCI's growth backbone (NVDA \$200.04, MRVL \$279.04, LRCX \$371.33, TSM \$436.39, AMD \$519.85, NXPI \$299.94, ADI \$407.26, QCOM \$204.13, CRDO \$272.00 per the data drop), the after-close print and guide carry the principal cross-asset variable into the PCE print Thursday morning. *Research Reveals Opportunities.*

### **2. FedEx (FDX) Beat Tuesday Night With EPS of \$6.31 vs Approximately \$6.02 Consensus per the Data Drop and Revenue of Approximately \$25.0 Billion per Investing.com and GuruFocus Coverage — However, per Stocktwits and Investing.com, FY2027 Guidance Reportedly Came In Light at Approximately \$16.90–\$18.10 Adjusted Diluted EPS Versus Approximately \$19.86 Analyst Estimate, With FDX Reportedly Falling Approximately 6% in After-Hours Trading on Stranded Spin-Off Costs and Pilot-Contract Headwinds.**

Per Investing.com coverage, fuel expenses in FedEx's core Federal Express segment reportedly climbed approximately 70% year-over-year to \$1.275 billion from \$750 million on higher jet fuel costs, with stranded costs from the June 1 FedEx Freight (FDXF) spinoff reportedly weighing on the transition-year framing. For the committee, the global-goods-flow read reportedly skews cautious heading into the May PCE print, while the fuel-cost color reportedly reinforces the energy-input pressure on broader corporate margins independent of the headline Brent path. *Avoid Erosion.*

**3. May PCE Lands Thursday June 25 at 8:30 AM ET per the BEA Personal Income and Outlays Release Calendar — the First Major Inflation Print of the Warsh Era Now Layered Against BofA's Tuesday Hawkish Reset.**

Per Morningstar preview coverage, the May PCE deflator is reportedly forecast to rise approximately 0.5% month-over-month after  $\uparrow 0.4\%$  in April, with core PCE reportedly forecast at approximately  $\uparrow 0.37\%$  month-over-month after  $\uparrow 0.24\%$  in April; the headline year-over-year is reportedly forecast at approximately 4.1%, well above the Fed's 2% target. Per Reuters via Investing.com coverage, BofA reportedly revised its 2026 baseline to call for approximately 75 basis points of Fed hikes (reportedly September, October, December) versus its prior no-change view, with fed-funds futures reportedly implying approximately 77% probability of a hike by December per CNBC coverage of the post-SEP repricing. With TLT essentially flat Tuesday at \$86.20 ( $\uparrow 0.13\%$  per the data drop) and the prior-week long-end give-back digested, the May print reportedly carries elevated cross-asset weight into next week. *Avoid Erosion.*

**4. The Asian Session Wednesday Reportedly Stabilized After Tuesday's Capitulation per TradingKey and CNBC Asia Coverage — South Korea's KOSPI Reportedly Opened Approximately  $\uparrow 1.86\%$  and Was Reportedly Trading Roughly  $\uparrow 4.14\%$  Mid-Session at Approximately 8,543 per TradingKey, While Japan's Nikkei 225 Reportedly Traded Approximately Flat to  $\downarrow 0.2\%$  per the Cited Coverage.**

Per TradingKey, the KOSPI rebound reportedly featured SK Hynix recovering more than 5.6% with market cap reportedly surpassing Samsung Electronics again, framing the Tuesday HBM4 headline as a positioning-driven flush rather than a definitive cycle-end read. For the U.S. tape, the modest Asia stabilization reportedly skews the pre-market setup more constructive than the Tuesday close suggested, layering onto the Micron after-close print as the principal validation event. For FCI's position-symmetric framework, the operative read is that the Tuesday chip flush reportedly carries into a Wednesday open that may test whether the AI-infrastructure backbone holds the post-flush levels or extends the second-day drawdown. *Simplicity Over Complexity.*

**5. The Digital Sleeve Reportedly Joined the Tuesday Risk-Off per the Data Drop — IBIT Closed at \$35.31 ( $\downarrow 3.26\%$ ), ETHA at \$12.52 ( $\downarrow 4.13\%$ ), COIN at \$158.18 ( $\downarrow 4.04\%$ ), HOOD at \$103.25 ( $\downarrow 2.33\%$ ), MARA at \$14.70 ( $\downarrow 1.01\%$ ), and HUT at \$120.51 ( $\downarrow 0.44\%$ ) — While Per Yahoo Coverage Cited Via the Data Drop, Coinbase Reportedly Declined Approximately 6.6% After Launching AI Tools and Tokenized Pre-IPO Futures.** Per the data drop's HOOD news run, Yahoo coverage reportedly indicated Meta Platforms is

reportedly building a prediction-market app, while per the data drop's headlines, CFTC reportedly sued Kentucky over actions against prediction markets in the first red-state federal scrutiny. Per CNBC via the headlines, Cboe (VIX owner) reportedly jumped into prediction markets to build on zero-day options growth. For HOOD, COIN, and the broader digital-rails framework, the prediction-markets regulatory dimension reportedly extends as a parallel product-cadence variable alongside the AI-doubt sentiment vector through Wednesday's Micron print. *Research Reveals Opportunities.*

**6. Carson's Active SPY \$645.80 Support Remains Materially Untouched Through Tuesday's Capitulation.**

The S&P 500 proxy Tuesday intraday range (\$732.30–\$739.63 per the data drop) closed at \$733.58 ( $\downarrow 1.45\%$ ) but reportedly carried well above Carson's framework, leaving the level as the committee's downside reference rather than an actionable near-term marker through a second-consecutive risk-off session. Per public coverage of CNN's Fear & Greed feed, the most recent stock-market reading reportedly registered approximately 28 ("Fear") on the June 23 print — a notable approximately nine-point decline from the June 18 read of 37 referenced in the prior brief. The data drop's F&G fell back to the crypto index at 17 ("Extreme Fear") per the workflow note. The position-symmetric framework reportedly remains anchored on Carson's level through Micron tonight and the May PCE print Thursday morning. *Simplicity Over Complexity.*